J.P.Morgan
ASSET MANAGEMENT

ETF Perspectives

Buffer ETFs: Smarter 60/40 investing with J.P. Morgan hedged equity

Published: 05-11-2025

Equity markets don't deliver growth in straight lines. Progress comes in fits and starts, with sharp falls often followed by strong rebounds. The perennial challenge for investors is staying invested. J.P. Morgan Asset Management's active hedged equity laddered overlay ETFs are designed to help.

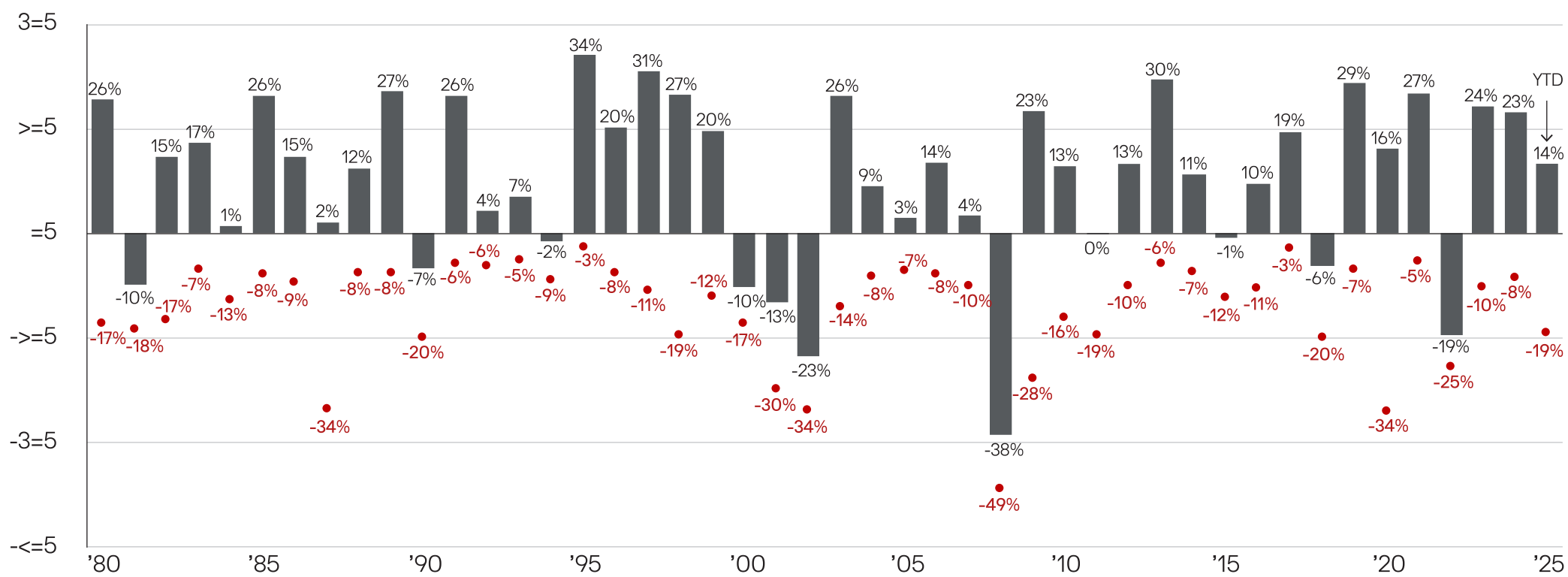
In the 45 years since 1980, the S&P 500 has delivered positive annual returns 34 times. But the market's average intra-year drop in that time was 14%, meaning investors often endured some fairly nerve-wracking price swings along the way. And the bigger the swing, the bigger the test of conviction.

It can be tough not to sell down holdings or change course entirely when markets lurch lower. But exiting the market during turbulence often means missing out on the strongest rebound days. Over time, that tends to lead to worse outcomes.

Slotting in J.P. Morgan's buffer ETFs alongside bonds, equities and alternative assets could help investors endure these ups and downs without being knocked off course.

S&P intra-year declines vs calendar year returns

Despite average intra-year drops of 14.1%, annual returns were positive in 34 of 45 years



Past performance is not a reliable indicator of current and future results. Source: FactSet, Standard & Poor's, J.P. Morgan Asset Management. Returns are based on price index only and do not include dividends. Intra-year drops refers to the largest market drops from a peak to a trough during the year. For illustrative purposes only. Returns shown are calendar year returns from 1980 to 2024, over which the average annual return was 10.6%. Guide to the Markets - U.S. Data are as of 30 September 2025. Indices do not include fees or operating expenses.

The need for alternative sources of diversification

The long-accepted way to smooth investment returns and manage volatility was to mix equities with bonds. Equities delivered growth; bonds provided ballast. Their correlation was negative; when one zigged, the other zagged.

That neat relationship has weakened since the pandemic. In 2022 as inflation spiked, stocks and bonds fell together – leaving balanced portfolios of 60% equities and 40% bonds with their worst year since 2008. And now? Bonds are still important, especially now yields are higher. But their role as diversifiers has become less reliable.

Investors still want and need equity growth, but it's increasingly important to have other sources of diversification to cushion volatility. Buffer ETFs are one such tool: they don't replace fixed income, but they can complement it by reshaping the way equity exposure is experienced.

How buffer ETFs work

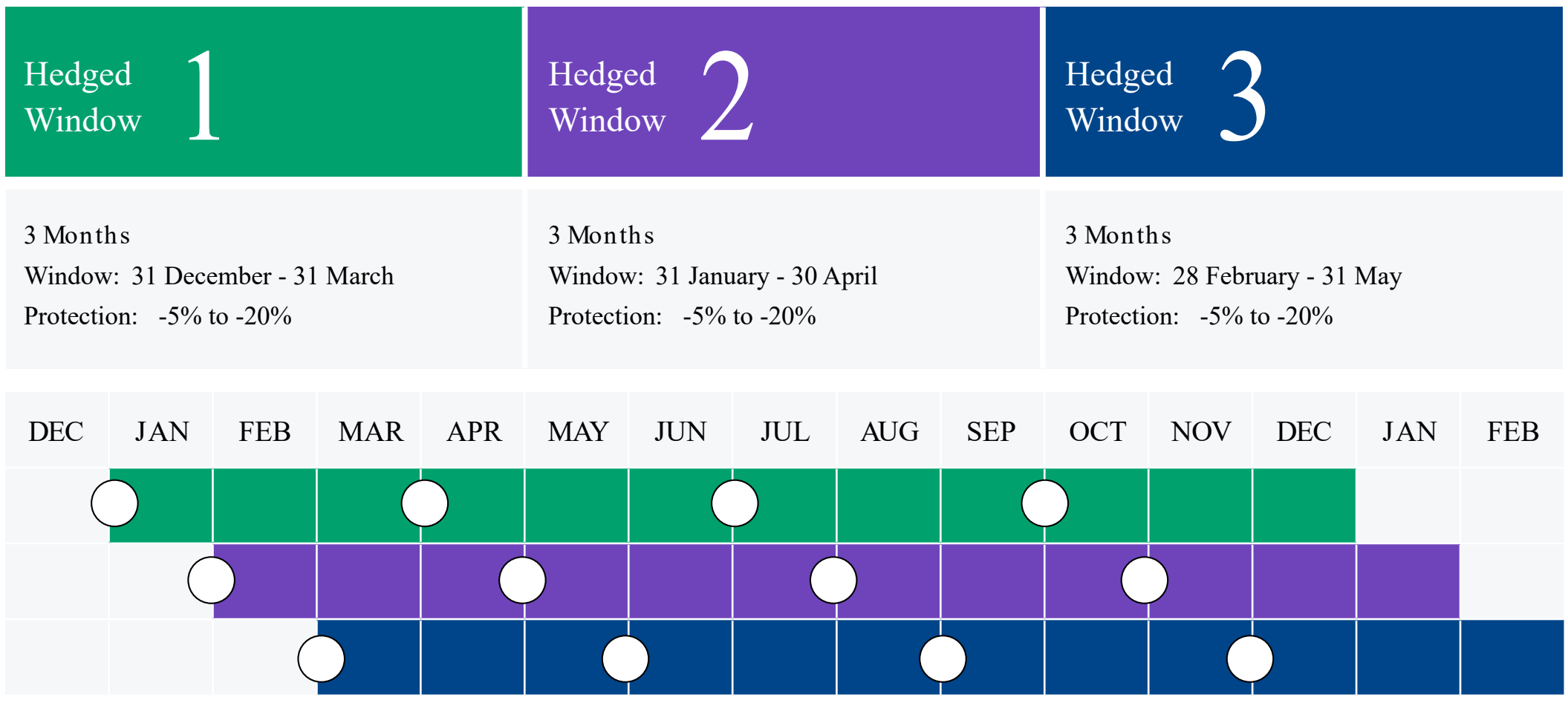
Buffer ETFs are built to smooth the equity ride. Instead of full exposure to every rise and fall, they use options contracts to hedge the downside, in exchange for capping the upside. The goal is to provide enough upside to keep investors in the market, with enough protection to make the journey bearable.

That's the basic idea. But not all buffer ETFs go about it in the same way, and this is where the J.P. Morgan approach stands out.

Always hedged ETFs, no matter when you invest

J.P. Morgan's answer comes through two funds: the JPM US Hedged Equity Laddered Overlay Active UCITS ETF (HELO) and the JPM Nasdaq Hedged Equity Laddered Overlay Active UCITS ETF (HEQQ). Both take the core principles of buffer ETFs but add a distinctive twist.

Buffer ETFs typically use a single hedge for a specific period, such as one quarter, or one year, creating the risk that investors who join mid-cycle may not be fully covered until the hedge period resets. By contrast, HELO and HEQQ use three rolling hedges, each lasting three months and starting one month apart. This 'laddered' approach means the funds are always hedged.



The information above is shown for illustrative purposes only. The above strategy does not guarantee against loss of capital.

Investors are covered by three overlapping layers of protection, so that the hedging windows always combine to cover 100% of the portfolio. It's a kind of insurance policy for equity exposure – protection that renews itself automatically, so you can expect the same outcome, whenever you join.

Similarly, as the market moves, the hedge window moves as well. This approach can offer more potential upside in an upward-trending or volatile market, while also moving the downside hedge if the market falls.

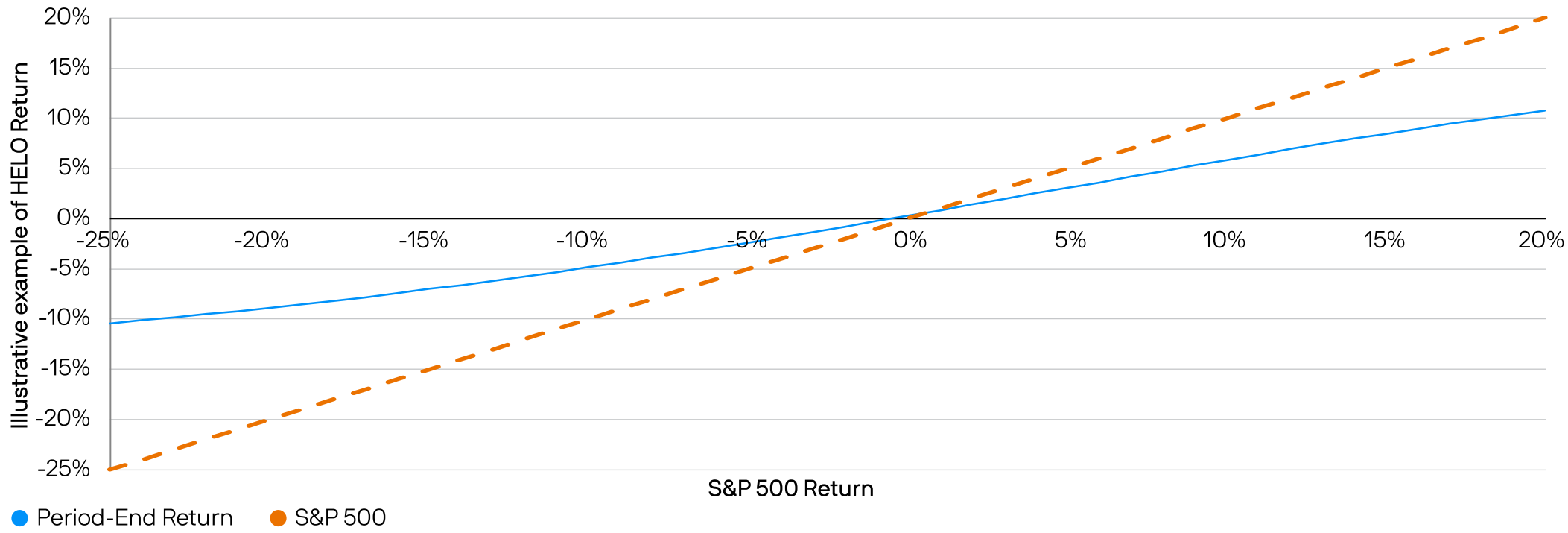
The aim of HELO and HEQQ is to put guardrails around the equity experience so that potential losses are limited if the market falls between 5% and 20% over any three-month hedged window. The hedging strategy does not, however, guarantee you will never lose money, and you may still experience losses outside this range.

Benefits of buffer ETFs for investors

The essence of HELO and HEQQ's proposition is that an investor can enjoy around two-thirds of the equity market's upside, with about half the volatility and beta.

Combining three hedge windows seeks to provide a smooth and predictable beta experience

Illustrative 3-Month Return



For illustrative purpose only, using a regression calculated from a back-test of 3 equally blended hedge periods over time. Actual results will vary depending on the intra-period returns +/- alpha minus fees. The above strategy does not guarantee against a loss of capital. *Relative to the S&P 500 Index.

Upside participation
capturing a significant portion of equity gains.

Downside cushioning
that helps investors stay invested.

Reduced equity risk
broadly comparable to a balanced 60/40 portfolio.

A smoother journey
avoiding the cliff-edge resets of traditional buffer ETFs.

Beneath the hedge, both ETFs hold actively managed equity portfolios:

HELO invests in a diversified portfolio of U.S. large-cap companies, all identified using J.P. Morgan Asset Management's active, research-enhanced equity investing process.

HEQQ provides an active exposure to Nasdaq-oriented equities – a market known for both growth potential and volatility.

Both ETFs have a TER of 0.50%.

A tried and tested strategy

Buffer ETFs remain in the early stages of adoption in Europe. In the US, though, they're already well established. The US-listed HELO ETF has attracted more than $3 billion in assets. In Europe, J.P. Morgan has also managed the US Hedged Equity mutual fund since 2016. These new UCITS ETFs therefore bring a tried-and-tested strategy to ETF buyers in Europe.

At the helm is Hamilton Reiner, Head of US Equity Derivatives, who has been managing hedged equity strategies for decades, alongside co-manager Raffaele Zingone and a seasoned team of research analysts with an average 20+ years' experience (as of June 2025).

Putting it to work

So, how can laddered buffers help nervous investors stay invested through volatility?

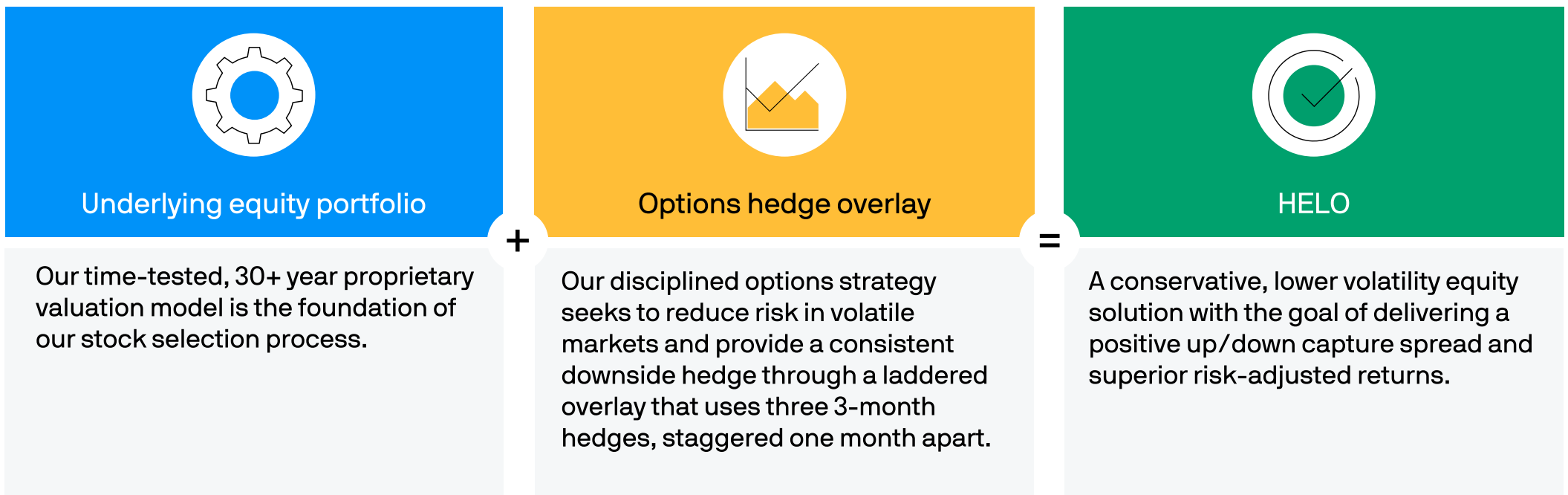
Take, for example, an investor nervous about US equity markets. A full equity allocation may feel uncomfortable or may not match the investor's time horizon if they're close to retirement.

It's the sort of situation many investors know well: the temptation to sit it out in cash, weighed against the fear of missing market gains.

With HELO, this investor can stay in the market (or enter it for the first time) with the added reassurance of the options guardrails.

If stocks dip, they're cushioned. If stocks soar, they still participate, but their gains are capped. The ride is steadier, making it mentally easier to stay invested.

Similarly, our hedged equity ETFs can play a compelling role in an overall portfolio by funding these solutions from a combination of equities and fixed income. This results in a similar level of risk, but increased upside potential.



Embracing volatility with buffer ETFs

Markets will always be uncertain. Volatility is a feature, not a bug. For investors, the challenge is not to avoid it altogether, but to find the right ways to preserve long-term, wealth-building equity exposure.

That is what J.P. Morgan's HELO and HEQQ buffer ETFs set out to do. They are designed to address today's correlation challenges by offering equity participation with a built-in hedge against potential losses, for market falls between -5% to -20%. Over the long term, the aim is to provide roughly half the volatility and beta of the market, with two-thirds of the upside.

Volatility is inevitable, but by combining active stock selection with an 'always on, always rolling' hedge, HELO and HEQQ can help investors get invested and stay invested

IE000VAZZYM3

HELO

JPMorgan ETFs (Ireland) ICAV - US Hedged Equity Laddered Overlay Active UCITS ETF

Benchmark

Benchmark ticker: SPTR500N

S&P 500 (Total Return Net).

Fund size

USD

14,98 Mn

(As of 09.03.2026)

IE000JIPY1U8

HEQQ

JPMorgan ETFs (Ireland) ICAV - Nasdaq Hedged Equity Laddered Overlay Active UCITS ETF

Benchmark

Benchmark ticker: XNDXNNR

Nasdaq-100 Index

Fund size

USD

19,63 Mn

(As of 09.03.2026)

Article Tags ETFs

Disclosures

For Professional Clients / Qualified Investors only – not for Retail use or distribution.

The products mentioned in this document have been registered for public distribution in certain jurisdictions, which may include EEA countries, Switzerland and the UK. Certain share classes may not be authorised or their offering may be restricted in your jurisdiction. It is each investor's responsibility to ensure compliance with local laws and regulations. Please contact your J.P. Morgan Asset Management representative or refer to the latest available Prospectus, the Key Information Document (KID) and any applicable local offering document for further information. Prior to investing in a product, investors are advised to take all necessary legal, regulatory and tax advice on the consequences of an investment in the products. Shares or other interests may not be offered to or purchased directly or indirectly by US persons. All transactions should be based on the latest available Prospectus, KID and any applicable local offering document. These documents together with the annual report, semi-annual report, instrument of incorporation and sustainability-related disclosures, are available in English from JPMorgan Asset Management (Europe) S.à r.l., 6 route de Trèves, L-2633 Senningerberg, Grand Duchy of Luxembourg, your financial adviser or your J.P. Morgan Asset Management regional contact or at www.jpmorganassetmanagement.ie. A summary of investor rights is available in English at https://am.jpmorgan.com/lu/investor-rights. J.P. Morgan Asset Management may decide to terminate the arrangements made for the marketing of its collective investment undertakings. Units in Undertakings for Collective Investment in Transferable Securities ("UCITS") Exchange Traded Funds ("ETF") purchased on the secondary market cannot usually be sold directly back to UCITS ETF. Investors must buy and sell units on a secondary market with the assistance of an intermediary (e.g. a stockbroker) and may incur fees for doing so. In addition, investors may pay more than the current net asset value when buying units and may receive less than the current net asset value when selling them. This is a marketing communication and as such the views contained herein do not form part of an offer, nor are they to be taken as advice or a recommendation, to buy or sell any investment or interest thereto. Reliance upon information in this material is at the sole discretion of the reader. Any research in this document has been obtained and may have been acted upon by J.P. Morgan Asset Management for its own purpose. The results of such research are being made available as additional information and do not necessarily reflect the views of J.P. Morgan Asset Management. Any forecasts, figures, opinions, statements of financial market trends or investment techniques and strategies expressed are, unless otherwise stated, J.P. Morgan Asset Management's own at the date of this document. They may not necessarily be all-inclusive and may be subject to change without reference or notification to you. The value of investments and the income from them may fluctuate in accordance with market conditions and taxation agreements and investors may not get back the full amount invested. Changes in exchange rates may have an adverse effect on the value, price or income of the products or underlying overseas investments. Past performance and yield are not a reliable indicator of current and future results. There is no guarantee that any forecast made will come to pass. Furthermore, there can be no assurance that the investment objectives of the investment products will be met. J.P. Morgan Asset Management is the brand name for the asset management business of JPMorgan Chase & Co. and its affiliates worldwide. To the extent permitted by applicable law, we may record telephone calls and monitor electronic communications to comply with our legal and regulatory obligations and internal policies. Personal data will be collected, stored and processed by J.P. Morgan Asset Management in accordance with our EMEA Privacy Policy www.jpmorgan.com/emea-privacy-policy. In Switzerland, JPMorgan Asset Management Switzerland LLC (JPMAMS), Dreikönigstrasse 37, 8002 Zurich, acts as Swiss representative of the funds and J.P. Morgan (Suisse) SA, Rue du Rhône 35, 1204 Geneva, as paying agent. With respect to its distribution activities in and from Switzerland, JPMAMS receives remuneration which is paid out of the management fee as defined in the respective fund documentation. Further information regarding this remuneration, including its calculation method, may be obtained upon written request from JPMAMS. This communication is issued in Europe (excluding UK) by JPMorgan Asset Management (Europe) S.à r.l., 6 route de Trèves, L-2633 Senningerberg, Grand Duchy of Luxembourg, R.C.S. Luxembourg B27900, corporate capital EUR 10.000.000. This communication is issued in the UK by JPMorgan Asset Management (UK) Limited, which is authorised and regulated by the Financial Conduct Authority. Registered in England No. 01161446. Registered address: 25 Bank Street, Canary Wharf, London E14 5JP. For UK only: Sustainability-related terms in this communication follow J.P Morgan Asset Management's methodologies and application of the EU Sustainable Finance Disclosure Regulation, not the UK Sustainability Disclosure Requirements and investment labels regime. The product is authorised overseas, but not in the UK. The UK Financial Ombudsman Service is unlikely to be able to consider any related complaints and any claims for losses are unlikely to be covered under the UK compensation scheme.

ae734a0c-9872-11f0-abb0-7d127e91833a

READ IMPORTANT LEGAL INFORMATION.

The value of investments may go down as well as up and investors may not get back the full amount invested.

Copyright 2026 JPMorgan Chase & Co. All rights reserved.